



— Academy

Sales Validation

DATA

CORE

Keep only arm's-length sales — everything downstream depends on it.

THE PROBLEM

What you're facing

Raw sales feeds contain transfers that are not market evidence (family transfers, foreclosures, partial interests, related parties). Used unqualified, they poison comps, models, and the ratio study.

WHY IT MATTERS

What's at stake

Every valuation product downstream — comps, the cost/market models, the ratio study, the BOE defense — inherits the quality of the sales pool. One unqualified sale in a small neighborhood can swing a model.

THE MENTAL MODEL

How experts think

Experts assume a sale is suspect until it earns trust. They look at the instrument type, grantor/grantee relationship, price relative to surrounding sales, and any flags (REO, quitclaim, multi-parcel). They preserve the reason a sale was disqualified — “sale_id 0” / non-market codes are doctrine, not noise.

Workflow

1. Filter by deed/instrument type and excise/transfer codes.
2. Flag related-party, foreclosure, and partial-interest transfers.
3. Sanity-check price against neighborhood range and prior sale.
4. Assign a qualification code and record WHY a sale was excluded.
5. Promote only qualified sales into the comp/model/ratio pools.

Common mistakes

- Treating every recorded transfer as a market sale.
- Discarding disqualified sales without recording the reason.
- Over-trimming legitimate sales because they look like outliers.
- Inconsistent codes between operators.

Tools

Sales/excise feed Qualification code table Neighborhood price context Deed/instrument detail

DO THIS NEXT

Now What?

- 1 Run the qualification pass before any model or ratio study, never after.
- 2 Keep the disqualification reason attached to each excluded sale.
- 3 Spot-check the small neighborhoods where a single sale moves the needle.

Further reading: IAAO Standard

